



MUMIAS SUGAR COMPANY LIMITED
ANNUAL REPORT AND FINANCIAL STATEMENTS
30 JUNE 2014

Abridged and Published in accordance with article 155 of the Company's Articles of Association

SUGAR INDUSTRY

During the financial year just ended, the sugar industry experienced a significant deficit of sugar cane in the Western Kenya sugar belt. Of even greater significance was the impact of the huge influx of illegally imported sugar which depressed the sugar prices and adversely affected the Company's financial performance.

RESULTS OVERVIEW

The company made a loss after tax of Kshs 2,707 million (2013 **Restated** – Kshs 1,660 million) during the financial year ended 30th June 2014 which represents a decline of 42% in earnings compared to the previous year. This is mainly attributable to a sharp decline in sugar selling prices as stated above, higher costs of production, and provisions made to address findings of the forensic audit commissioned by the Board.

OPERATIONS

The company processed 1,926,758 tonnes of sugar cane which was 12% higher than the previous year (2013 – 1,719,920). However, the cane crushed of a lower maturity and therefore lower pol resulting in a low rendement (sugar recovery rate) of 8.97%. Availability of good quality cane continued to be a major challenge as a result of decreased areas under cane, declining cane yield per hectare and cane poaching.

The company produced 172,326 tonnes of sugar (2013 – 147,308), an increase of 17%. Ethanol distillery produced 13,630,541 litres of spirit (ENA - 12,652,551, TA - 977,990), an increase of 210% compared to 4,387,000 litres (ENA – 3,997,000, TA – 390,000) produced the previous financial year. This is because more molasses was obtained from the relatively younger cane crushed during the year. Conversely, cogeneration continued to suffer due to the poor quality of cane and electricity exported to the national grid which dropped by 21% to 55,935 MWH down from 71,710 MWH exported the previous financial year.

Cost of production increased by 18% mainly because of higher volumes of cane processed.

REVENUES

The overall net revenues increased by 9.4% to Kshs 13,075 million up from Kshs 11,957 million in the previous financial year. The increase in revenue is attributable to higher sugar and ethanol sales volumes achieved. Sugar revenue for the year amounted to Kshs 11,781 million exceeding

the previous year by 5% despite a decline in sugar prices of 21%, from Ksh 79,246 per tonne the previous year to Kshs 62,432.

Ethanol revenues rose to Kshs 1,032 million from Kshs 261 million due to higher production and sales volumes. Revenues from sale of electricity dropped by 49% to Kshs 230 million from Kshs 458 million achieved the previous year due to a decreasing supply to the national grid, and penalties levied on low plant capacity utilization as per existing Power Purchase Agreement. The Company has commenced negotiations with Kenya Power & Lighting Company targeted at increasing tariffs on exports to the grid.

Production and sales of water marginally increased during the year by 17%.

FUTURE OUTLOOK

The company looks forward to better performance in the coming year based on the work the Board has done in identifying the challenges facing the company and putting in place measures to turn around the company. Among the initiatives undertaken by the Board include change in the management of the company, an improved farmer engagement program that is aimed at securing a sustainable supply of adequate quantities of good quality cane, strengthening the internal control environment, engagement with key stakeholders and initiating an organisation culture change.

On the market dynamics, the assurances from Government authorities to increase vigilance on illegally imported and counterfeit sugar would be a critical factor in ensuring competitive sugar pricing. The company has fulfilled all the preconditions for COMESA, the safeguards of which will expire in February 2015. The company has embarked on a major initiative to regain its market share through an additional investment in packaging plant capacity that will significantly improve margins.

The company continues to expand its market for potable spirit into the East African region. Re-negotiation of the Power Purchase Agreement is ongoing with the aim of unlocking further opportunities for the Cogeneration business. Improved water production processes and packaging are aimed at achieving efficacy and profitability.

The Board of Directors has operationalized short term plans and is working on medium and long term strategies aimed at returning the company to profitability and growth.

BY ORDER OF THE BOARD



DAN AMEYO

CHAIRMAN OF THE BOARD OF DIRECTORS

11 September 2014

MUMIAS SUGAR COMPANY LIMITED

STATEMENT OF COMPREHENSIVE INCOME
FOR THE YEAR ENDED 30 JUNE 2014

	2014 Shs'000	2013 (Restated) Shs'000
Revenue	13,075,912	11,957,823
Cost of sales	(12,227,708)	(10,395,794)
Gross profit	848,204	1,562,029
Fair value loss on Biological Assets	(91,547)	(13,781)
Other operating income	376,074	237,286
Marketing and distribution costs	(929,128)	(870,920)
Administrative expenses	(3,271,272)	(2,806,661)
Finance income	264,020	394,336
Finance costs	(601,397)	(724,988)
Loss before taxation	(3,405,046)	(2,222,699)
Taxation credit	698,451	562,293
Loss for the year	(2,706,595)	(1,660,406)
OTHER COMPREHENSIVE INCOME		
<i>Items that will not be reclassified subsequently to profit or loss-</i>		
Remeasurement of defined benefit obligations	(48,700)	293,300
Deferred tax relating to remeasurement of defined benefit obligation	14,610	(87,990)
	(34,090)	205,310
TOTAL COMPREHENSIVE (LOSS)/INCOME FOR THE YEAR	(2,740,685)	(1,455,096)
	Shs	Shs
(Loss)/earnings per share - basic & diluted	(1.77)	(1.09)

MUMIAS SUGAR COMPANY LIMITED
STATEMENT OF FINANCIAL POSITION
AT 30 JUNE 2014

	2014	2013	1 July 2012
	Shs'000	(Restated) Shs'000	(Restated) Shs'000
ASSETS			
Non current assets			
Property, plant and equipment	18,819,230	19,615,082	19,810,560
Intangible assets	156,172	315,676	206,603
Non current staff receivables	108,980	157,695	150,090
Retirement benefits asset	125,400	133,600	-
	<u>19,209,782</u>	<u>20,222,053</u>	<u>20,167,253</u>
Current assets			
Inventories	1,118,959	2,463,064	1,676,088
Biological assets	157,352	219,378	191,093
Trade and other receivables	2,550,785	3,765,866	4,584,048
Corporate tax recoverable	178,454	183,102	200,214
Collateral deposit	306,694	301,925	294,817
Short term deposit	9,812	-	51,797
Quoted investments	-	44,106	35,240
Cash and bank balances	31,248	70,923	138,063
	<u>4,353,304</u>	<u>7,048,364</u>	<u>7,171,360</u>
Noncurrent assets held for sale	-	11,576	61,500
	<u>4,353,304</u>	<u>7,059,940</u>	<u>7,232,860</u>
Total assets	<u>23,563,086</u>	<u>27,281,993</u>	<u>27,400,113</u>
EQUITY AND LIABILITIES			
Equity			
Share capital	3,060,000	3,060,000	3,060,000
Revaluation surplus	3,071,442	3,173,432	3,350,880
Retained earnings	4,510,363	7,149,058	9,191,706
Shareholders' funds	<u>10,641,805</u>	<u>13,382,490</u>	<u>15,602,586</u>
Non current liabilities			
Deferred taxation liability	1,765,113	2,483,552	2,975,594
Provision for service gratuity	7,838	10,464	2,747
Deferred grant income	18,828	15,379	-
Borrowings	494,353	2,981,335	2,925,531
Retirement benefits liability	-	-	173,000
	<u>2,286,132</u>	<u>5,490,730</u>	<u>6,076,872</u>
Current liabilities			
Borrowings	5,245,518	3,058,448	2,463,448
Trade and other payables	4,898,879	4,844,672	2,928,017
Provision for service gratuity	17,350	5,652	1,201
Provision for staff leave	28,101	43,626	28,552
Unclaimed dividends	445,301	456,375	299,437
	<u>10,635,149</u>	<u>8,408,773</u>	<u>5,720,655</u>
Total equity and liabilities	<u>23,563,086</u>	<u>27,281,993</u>	<u>27,400,113</u>

MUMIAS SUGAR COMPANY LIMITED

STATEMENT OF CHANGES IN EQUITY
FOR YEAR ENDED 30 JUNE 2014

	Share capital Shs'000	Revaluation surplus Shs'000	Retained earnings Shs'000	Total Shs'000
At 1 July 2012 (as previously reported)	3,060,000	3,350,880	9,312,806	15,723,686
Adjustment on retirement benefit liability (note 35)	-	-	(121,100)	(121,100)
At 1 July 2012 (as restated)	3,060,000	3,350,880	9,191,706	15,602,586
Loss for the year	-	-	(1,660,406)	(1,660,406)
Other comprehensive income for the year	-	-	205,310	205,310
Final dividend declared - for year 2012	-	-	(765,000)	(765,000)
Transfer on disposal of equipment	-	(30,653)	30,653	-
Deferred taxation transferred on disposal of equipment	-	9,196	(9,196)	-
Transfer of excess depreciation	-	(222,845)	222,845	-
Deferred taxation on excess depreciation	-	66,854	(66,854)	-
At 30 June 2013 (as restated)	3,060,000	3,173,432	7,149,058	13,382,490
At 1 July 2013 (as previously reported)	3,060,000	3,173,432	7,055,538	13,288,970
Adjustment on retirement benefit liability (note 35)	-	-	93,250	93,250
At 1 July 2013 (as restated)	3,060,000	3,173,432	7,149,058	13,382,490
Loss for the year	-	-	(2,706,595)	(2,706,595)
Other comprehensive loss for the year	-	-	(34,090)	(34,090)
Transfer on disposal of equipment	-	(17,754)	17,754	-
Deferred taxation transferred on disposal of equipment	-	5,326	(5,326)	-
Transfer of excess depreciation	-	(127,946)	127,946	-
Deferred taxation on excess depreciation	-	38,384	(38,384)	-
At 30 June 2014	3,060,000	3,071,442	4,510,363	10,641,805

The revaluation surplus represents the net cumulative surplus arising from revaluation of property, plant and equipment net of deferred taxation. The revaluation surplus is non-distributable.

The prior year adjustments relate to the change in accounting policy with regard to accounting policy due to mandatory adoption of the revised International Accounting Standard 19. The company previously applied the corridor approach in accounting for its defined benefits. Revised IAS 19 requires immediate recognition of remeasurement gains through other comprehensive income.

MUMIAS SUGAR COMPANY LIMITED

STATEMENT OF CASH FLOWS
FOR THE YEAR ENDED 30 JUNE 2014

	2014 Shs'000	2013 Shs'000
CASH FLOWS FROM OPERATING ACTIVITIES		
Net cash generated from operations	1,146,834	1,332,306
Interest paid	(545,526)	(729,861)
Interest received	264,020	394,336
Other finance charges paid	(63,167)	(63,710)
Tax paid	(730)	(627)
Net cash generated from operating activities	801,431	932,444
CASH FLOWS FROM INVESTING ACTIVITIES		
Additions to property, plant and equipment	(509,072)	(1,216,026)
Additions to intangible assets	(30,460)	(19,893)
Proceeds on disposal of non-current assets held for sale	1,657	1,865
Proceeds on disposal of quoted investments	43,512	-
Net cash used in investing activities	(494,363)	(1,234,054)
CASH FLOWS FROM FINANCING ACTIVITIES		
Dividend paid	(11,074)	(608,062)
Loans received	1,173,786	2,726,346
Loans repaid	(1,889,072)	(1,492,145)
Kenya Sugar Board grant received	3,449	15,379
Net cash (used in)/generated from financing activities	(722,911)	641,518
NET (DECREASE)/INCREASE IN CASH AND CASH EQUIVALENTS	(415,843)	339,908
CASH AND CASH EQUIVALENTS AT THE BEGINNING OF YEAR	(940,281)	(1,280,189)
CASH AND CASH EQUIVALENTS AT THE END OF YEAR	<u>(1,356,124)</u>	<u>(940,281)</u>